

CASE ID: 202409710020a

EPISODE NAME: Chinese Probe on Canadian Tariffs

2024/09/26 - Present

Sender: China (710)

Target: Canada (20)

Issue: Trade Practices (13)

Final Outcome: Ongoing

Summary:

On 2024/09/26, China began to investigate whether Canada's tariffs targeting them justified anti-discriminatory tariffs. On 2025/03/20, China imposed anti-discriminatory tariffs on several Canadian goods.

Narrative:

On 2024/09/26, China's Ministry of Commerce (MOFCOM) announced that it would be launching an investigatory probe into "restrictive" measures taken by Canada regarding its tariffs on Chinese EVs (100 percent), steel (25 percent), and aluminum (25 percent).¹ MOFCOM argued that Canada's actions violated Articles 7, 36, and 37 of China's Foreign Trade Law, justifying the activation of an anti-discriminatory probe. The investigation marked China's first formal use of this trade remedy tool against a developed economy.²

In official statements, Beijing said it "strongly deplored and firmly opposed" Ottawa's measures, characterizing them as discriminatory and politicized.³ Chinese officials hinted at potential retaliatory actions under international law if the situation continued. The MOFCOM probe was set for three months, with public hearings and stakeholder submissions invited, though Chinese authorities maintained the right to extend the deadline.⁴

By 2025/03/08, China had concluded its investigation, announcing retaliatory tariffs, which came into effect on 2025/03/20, on several Canadian goods: 100 percent on rapeseed oil, peas, and oilcake, and 25 percent on pork and aquatic products. These measures, MOFCOM stated, were consistent with WTO principles and sought to "safeguard China's legitimate trade interests."⁵ In response, Canadian Ministers Mary Ng, Lawrence MacAulay, , and Diane Lebouthiller issued a

¹ "China targets Canada's tariffs with anti-discriminatory probe." *US News*, September 26th, 2024.

<https://money.usnews.com/investing/news/articles/2024-09-25/china-targets-canadas-tariffs-with-anti-discriminatory-probe>.

² "China launches anti-discrimination investigation into Canada's tariff increases." *Global Times*, September 26th, 2024. <https://www.globaltimes.cn/page/202409/1320407.shtml>.

³ "China announces anti-dumping probe into Canadian canola, chemicals." *Al Jazeera*, September 3rd, 2024. <https://www.aljazeera.com/economy/2024/9/3/china-announces-anti-dumping-probe-into-canadian-canola-chemical>.

⁴ "China launches anti-discrimination investigation into Canada's tariff increases." *Global Times*, September 26th, 2024. <https://www.globaltimes.cn/page/202409/1320407.shtml>.

⁵ Meredith, Sam. "China to impose retaliatory tariffs on some Canadian products as trade war heats up." *CNBC*, March 8th, 2025.

<https://www.cnn.com/2025/03/08/trade-war-china-to-slap-retaliatory-tariffs-on-some-canadian-products.html>.

joint statement expressing deep disappointment with the result and called for renewing constructive dialogue with Beijing.⁶

In response to China's anti-discriminatory tariffs, Canada requested WTO consultations with China on 2025/03/20, thus threatening import restrictions. The consultations failed, and so on 2025/06/23, a panel was established to arbitrate the dispute. The panel has yet to be imposed, and so this narrative is ongoing.⁷

⁶ "Statement by ministers Ng, MacAulay and Lebouthillier on China's anti-discrimination investigation."

Government of Canada, March 8th, 2025.

<https://www.canada.ca/en/global-affairs/news/2025/03/statement-by-ministers-ng-macaulay-and-lebouthillier-on-chinas-anti-discrimination-investigation.html>.

⁷ "DS636: China — Additional Import Duties on Certain Agricultural and Fishery Products from Canada." *World Trade Organization*.

https://docs.google.com/document/d/1ZkL5MCCoI582fQai7dz_3GbT24j9ntvmPJ1e5JqodKO/edit?tab=t.0.